



LIWELILE IMPUMELELO COMMUNITY CENTRE

ANNUAL FINANCIAL REPORT

For the Financial Year Ended 28 February 2026

NPO Registration Number: 167-542

EXECUTIVE SUMMARY

Period of Report: 1 March 2025 - 28 February 2026 Retrospectively.

Reporting Status: Transition Year - Organization Restructuring

Key Highlight: Successfully transitioned from informal voluntary operation to formal NPO structure with governance systems, securing premises and initiating funding applications.

NB: Please note that our annual Financial Report reflects our Journey from Informal to Formal Structure. From 2020 when we helped informal settlement dwellers whose

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homes got burnt down during the winter season. Some or most of our Impact happened informally with no formal record until now. However, we are not fully on record and compliant.

Financial Overview:

- **Total Income:** R 7,500 (Director Contributions)
- **Total Expenditure:** R 7,000 (Setup and Compliance Costs)
- **Net Position:** R 500 surplus carried forward
- **Assets Under Management:** R 0 (No capital assets yet)
- **Volunteer Contribution Value:** R 96,000 (in-kind, not reflected in cash)

1. INCOME STATEMENT (1 March 2025 - 28 February 2026)

INCOME	Amount (R)	Notes
A. Director Contributions	7,500	10 directors @ R750 average
- Mzolisi Malusi	1,000	Chairperson
- Thabi Prudence Sambo Moatsi	750	Secretary
- Mapolo Mokoena	750	Treasurer
- Other 7 Directors	5,000	Average R714 each
B. Donations in Kind	*12,000	Estimated value of voluntary time
C. Other Income	0	No grants or fundraising yet
TOTAL INCOME	7,500	All from director contributions

EXPENDITURE	Amount (R)	% of Income	Notes
A. Governance & Compliance	3,500	46.7%	
- NPO compliance updates	1,200		DSD filings, document certification
- SARS PBO application	800		Form submissions, consultations
- Constitution amendment	500		Legal review, printing
- Board meeting costs	1,000		Transport, venue, refreshments
B. Operational Setup	2,500	33.3%	
- Premises securing	1,500		Lease agreement, deposits
- Communication	600		Airtime, data for coordination
- Banking setup	400		Account opening, charges
C. Programme Development	1,000	13.3%	
- SASSA proposal development	600		Research, documentation
- Community needs assessment	400		Survey materials, outreach
TOTAL EXPENDITURE	7,000	93.3%	

| **NET SURPLUS/(DEFICIT) | 500 | 6.7% | Carried forward to 2026/2027 |**

2. BALANCE SHEET (As of 28 February 2026)

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ASSETS	Amount (R)	Notes
CURRENT ASSETS		
Cash at Bank	500	Nedbank Current Account
Petty Cash	0	No petty cash float established
Total Current Assets	500	
NON-CURRENT ASSETS		
Furniture & Equipment	0	To be acquired in 2026/2027
Total Non-Current Assets	0	
TOTAL ASSETS	500	
LIABILITIES AND RESERVES	Amount (R)	Notes
CURRENT LIABILITIES		
Accounts Payable	0	No creditors
Accrued Expenses	0	No accruals
Total Current Liabilities	0	
RESERVES		
Accumulated Funds	500	Surplus from operations
Total Reserves	500	

ASSETS	Amount (R)	Notes
TOTAL LIABILITIES & RESERVES	500	

3. CASH FLOW STATEMENT

CASH FLOWS FROM OPERATING ACTIVITIES	Amount (R)
Cash received from directors	7,500
Cash paid for compliance & setup	(7,000)
Net Cash from Operations	500
CASH FLOWS FROM INVESTING ACTIVITIES	
Purchase of fixed assets	0
Net Cash from Investing	0
CASH FLOWS FROM FINANCING ACTIVITIES	
Loans received	0
Net Cash from Financing	0
NET INCREASE IN CASH	500
Cash at Beginning of Period	0
CASH AT END OF PERIOD	500

4. SIGNIFICANT NON-CASH CONTRIBUTIONS

Contribution	Estimated Value (R)	Description
Volunteer Time	96,000	8 directors × 10 hours/month × 12 months @ R100/hour
Professional Services	24,000	Legal, accounting advice pro bono
Venue Usage	18,000	Community meetings at donated spaces
Transport	12,000	Personal vehicles used for NPO business
TOTAL IN-KIND	150,000	Not reflected in financial statements

5. PROGRAMME ACTIVITIES (NON-FINANCIAL)

5.1 Governance Restructuring

- Successfully reduced board from 10 to 8 directors with clear separation from staff
- Implemented governance policies: Code of Conduct, Conflict of Interest Register
- Established clear director roles and responsibilities

5.2 Compliance Progress

- Initiated DSD online portal linking process
- Submitted SARS PBO and Section 18A application
- Secured formal premises at 22 Fox Glove Avenue, Primrose
- Updated NPO Constitution to include SASSA programme

5.3 Programme Development

- Completed community needs assessment in Marathon Informal Settlement
- Developed SASSA funding proposal for elderly feeding programme
- Designed 2-week nutritional menu cycle
- Created operational manuals and templates

5.4 Community Engagement

- Maintained community dialogues (weekly)
- Built volunteer database (15 registered volunteers)
- Established partnerships with local church and clinic

6. FINANCIAL POLICIES IMPLEMENTED

6.1 Controls Established:

1. **Banking:** Nedbank account opened with dual signatory requirement
2. **Expenditure Authorization:** All expenses require chairperson approval
3. **Record Keeping:** Financial records maintained from inception
4. **Reporting:** Monthly financial reports to board instituted

6.2 Policies Developed:

- Financial Management Policy
- Procurement Policy

- Volunteer Policy
- Conflict of Interest Policy

7. GOING CONCERN ASSESSMENT

Current Status: The organization is in its development phase with limited financial resources but strong governance foundation and community support.

Key Factors Supporting Going Concern:

1. Strong director commitment (R 7,500 contributions in first year)
2. Clear funding pipeline (SASSA application submitted)
3. Formal premises secured
4. Governance systems established
5. Community need demonstrated

Risks to Address:

1. Dependency on future grant funding
2. Limited cash reserves (R 500 only)
3. No recurring income streams yet

8. BUDGET FOR 2026/2027 FINANCIAL YEAR

Item	Budgeted (R)	Growth	Notes
Income	300,000	3,900%	Assuming SASSA and corporate funding
Expenditure	294,500	4,107%	Full programme implementation
Surplus Target	5,500	1,000%	To build reserves

Primary Funding Applications Pending:

1. SASSA Elderly Feeding Grant: R 144,000
 2. Corporate Space Sponsorships: R 108,000
 3. International Donors: R 48,000
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9. AUDIT AND COMPLIANCE STATUS

9.1 External Review:

- No external audit conducted (income below threshold)
- Directors have reviewed and approved these financial statements

9.2 Statutory Compliance:

- NPO Annual Report to be submitted to DSD by 31 January 2026
- SARS ITR12 for PBO to be submitted upon registration
- No employees, therefore no PAYE/UIF obligations

9.3 Accounting Basis:

- Cash basis accounting (appropriate for developmental stage)
 - Financial year: 1 March - 28 February
 - Currency: South African Rand (ZAR)
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10. DIRECTORS' RESPONSIBILITY STATEMENT

We, the directors of Liwelile Impumelelo Community Centre, confirm that:

1. These financial statements present fairly the financial position of the NPO
2. Proper accounting records have been maintained
3. Internal controls have been established and are functioning
4. The NPO is a going concern
5. All statutory requirements have been or are being met

Signed on behalf of the Board:

Mzolisi Malusi

Chairperson

Date: 15 January 2026

Mapolo Mokoena

Treasurer

Date: 15 January 2026

Thabi Prudence Sambo Moatsi

Secretary

Date: 15 January 202

11. APPROVAL

These financial statements were approved by the Board of Directors on 15 January 2026.

Board Resolution Number: LICC/BR/2025-001

NARRATIVE COMMENTARY

Transition Year Achievement:

This financial year represents our **transition from informal voluntary group to formal NPO**. While cash transactions were minimal (R 7,500), the **real value created** was in governance systems, compliance foundations, and programme development estimated at R 150,000 in-kind.

Strategic Positioning for Growth:

The R 500 cash balance is symbolic—it represents our **clean financial start** with no liabilities. All 2025/2026 expenditures were **capacity-building investments** that position us for significant growth in 2026/2027.

Transparency Commitment:

We report zero activity but maximum preparation. This honesty builds donor trust—we're not hiding failures; we're documenting our **deliberate build phase**.

Forward Look:

With premises secured, governance established, and proposals developed, we enter 2026/2027 ready to deliver R 300,000+ in community impact, backed by the systems built in this foundational year.

